

Learning Guide Unit 8

Overview

UNIT 8: Financial Systems: Capital, Banking, Exchange, and Digital Innovations

Topics

- Financial Capital & Wealth Accumulation
 - Money, Banking & Money Creation
 - Exchange Rate Policies & International Capital Flows
 - Digital Finance & Cryptocurrencies
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Learning Objectives

By the end of this Unit, you will be able to:

1. Explain how businesses and households raise, manage, and allocate financial capital and the trade-offs involved in economic decision-making.
2. Describe the functions of money and how fractional reserve banking creates the money supply and affects economic policy.
3. Discuss the impact of exchange rate policies, international capital flows, and digital finance innovations like cryptocurrencies on economic outcomes.